have led to a revolution. Prices and wages had been inflated terrifically in terms of gold by the expansion of gold-credit that had taken place during the 1920s. If we followed Baruch's advice, we were in line for a drastic deflation of prices and wages. And although we would eventually recover, it wasn't reasonable to expect 12 million idle men in the presence of idle machinery to wait that long. The orthodox banking theorists took the stand that a liquidation of bank credit would be a "wholesome" thing. And in terms of the proper functioning of the gold-credit mechanism, they were right. Confidence was not going to be restored until a deflation of credit took place. But obviously a contraction of the supply of money is not a wholesome thing in terms of the effect it has on human beings. To recapitulate: We had a choice of three courses of action after the bank panic: 1) Stick to the gold-credit mechanism and follow the sound economic principles of a free market. 2) Stick to the gold-credit mechanism -- with a few patches -- and adopt the unsound economic principles of a managed economy. 3) Convert our unsound credit banking system into a sound deposit banking system -- taking care to restore the per capita supply of money to its pre-depression level -- and continue to follow the sound economic principles of a free market. If I were forced to choose between 1 and 2 -- as all people who assumed that credit banking is sound were obliged to do -- I suppose I would have taken the second choice out of sheer desperation. I would know -- deep down in my heart -- that it couldn't work because it was based on false premises and unsound economic principles, and unsound theories of government. But because of the injustice, and misery and probable revolution that would have resulted from a drastic deflation of prices and wages if we followed the first course of action, I would have resigned myself to the second choice. The great majority of Americans indicated that they felt the same way. Now let's discuss some of the measures that were taken, after the bank holiday, to restore confidence in the banking system. Perhaps the most significant step that was taken was the nationalization of our gold supply. No longer did any citizen have the right to hoard gold or to obtain gold by presentation of Federal Reserve Notes. No longer did private individuals have the power to cause a contraction of credit by withdrawing gold. In one sense, this was a step in the right direction. No private individual or corporation should have the power to cause a contraction of our supply of money by withdrawing gold from the banking system. But neither should our government have the power to arbitrarily cause an increase or decrease in the supply of money (bank credit). All recorded history shows that when governments have that power, they will abuse that power by inflating the supply of money. There is only one way for us to protect ourselves from both private and government abuse of our money. We must have our Constitution state what the per capita supply of money should be. Our Constitution is our only safeguard. It protects us from other abuses by the government -- and it should protect us from the government abuse of our monetary system also. Another important step that was taken to restore confidence in the banking system was the establishment of the Federal Deposit Insurance Corporation. A word or two about that organization should be of interest to the reader. It was designed to bolster confidence in the banking system by making it appear as though the United States Government was guaranteeing the safety of your deposits. Actually it merely insured individual deposits of member banks up to $5,000. Deposits were not guaranteed. It is amusing to remember that one of the arguments used to justify a system of credit banking was that banks operate as insurance companies. We now see that since the banks could not make good when operating as insurance companies, it became necessary to create the Federal Deposit Insurance Corp. to insure the banks! And the next thing we will need will be some agency to insure the Federal Deposit Insurance Corp., because it is just as unsound as the banks. In 1946, for example, there were approximately sixty-six billion dollars of deposits under $5,000 insured by the F.D.I.C. -- which had about one billion dollars in assets. Today deposits are insured up to $10,000. And as of Dec. 31, 1953, the total amount insured was estimated to be over one hundred and four billion dollars. Behind this was a deposit insurance fund of only 1.39% of that amount, slightly under one-and-a-half billion dollars. (Annual Report, Federal Deposit Insurance Carp., Dec. 31, 1953) Obviously, another panic could cause the whole flimsy structure to topple just as readily as it did in